AUDIT OF CASH AND CASH EQUIVALENTS

Problem 1

Requirement: For each of the following cases, compute for the cash overage or shortage.

Case 1

From the general ledger of your client, you determined that the balance of their cash is P42,000 as of December 31. A physical count of cash held by the cashier on the same date revealed that bills total to P35,000, and coins total to P1,498.

Case 2

From the general ledger of your client, you determined that the balance of their cash is P100,000 as of December 31. The December bank statement showed an ending balance of P144,000. Checks issued in December, presented for payment only in January of next year, are as follows:

Check Number	Amount
1214222	P12,400
1214256	16,600

Case 3

You have been engaged to audit the December 31, 2023 financial statements of SLANTED Corporation, which started its operations last January 1, 2023.

In your audit of their cash, you were able to count P122,484 in currency. The bank statement for the month of December 2021 shows a balance of P257,890. Outstanding checks for the month is P2,350.

Pertinent transactions that occurred during the year and some audit notes are presented below:

- 2,000 ordinary shares, P200 par, were issued for P250/share.
- A building was purchased, cash basis, for P300,000.
- Furniture and office equipment were purchased, cash basis, for P75,000.
- Paid administrative expenses for the year total to P89,560
- Sales, all on credit, amounted to P1,680,000. The gross profit rate of the entity is 45%.
- The ending balance of accounts receivable is P245,000, while the ending balance of the accounts payable total to P355,000. All purchases are on account.
- Based on the physical count, inventory costing P476,000 are still unsold.
- The balance of the building presented in the trial balance is P250,000, net of accumulated depreciation and mortgage payable.
- Depreciation expense for the period total to P35,000: P5,000 for office equipment; P10,000 for furniture; and P20,000 for building.

Problem 2

The bookkeeper-cashier of the HONESTLY Company absconded on the evening of April 16, 2023, apparently with a large portion of the company's cash. He had taken with him certain accounting records, including the cash journals and the general ledger. You are called upon to ascertain, if possible, the shortage with which the missing employee may be charged.

A statement of financial position prepared from the books and other files follows:

HONESTLY Company
Statement of Financial Position
December 31, 2022
ASSETS

Cash		P 32,670
Accounts receivable		226,230
Inventory (at cost)		440,350
Furniture	P 74,560	
Less: Accumulated depreciation	31,800	42,760
Total assets		**P 742,010**

LIABILITIES AND SHAREHOLDER'S EQUITY

Accounts payable	P 114,720
Share capital	500,000
Retained earnings	127,290
Total liabilities and shareholder's equity	**P 742,010**

You obtain the following information from the available subsidiary journals, ledgers, and other data.

Balances at close of business, April 16, 2023

Account receivable	**P** 442,550
Accounts payable	207,300
Cash in bank, less checks outstanding	98,830

Transactions, January 1 - April 16, 2023

Sales, per receivable clerk	**P** 5,876,170
Sales allowances in customer's accounts	18,330
Cash purchase of furniture, per dealer's invoice	3,000
Total merchandise purchase	3,615,260
Expenses paid, supported by paid invoices and payrolls	1,865,830
Cash dividend declared, P 50,000 (of which P 10,000 remains unpaid)	40,000

Requirements:

1. What is the total amount paid for merchandise purchase?
   A. P 3,615,260 B. P 3,293,240 C. P 3,522,680 D. P 3,707,840
2. What is the total amount of collections from sales?
   A. P 5,641,520 B. P 5,659,850 C. P 6,074,160 D. P 6,092,490
3. What is the total amount of cash disbursement from January 1-April 1, 2023?
   A. P 5,524,090 B. P 5,202,070 C. P 5,431,510 D. P 5,432,510
4. What is the cashier's accountability (correct cash balance before shortage) on April 15, 2023?
   A. P 242,680 B. P 90,830 C. P 143,850 D. P 43,850
5. What is the amount of cash shortage?
   A. P 100,000 B. P 43,850 C. P 143,850 D. P 242,680

Problem 3

You were engaged by DAUGHTERS Corporation to audit their financial statements as of and for the period ended December 31, 2023. In your audit of their cash and cash equivalents, with a balance of P15,750,000, you were able to obtain the following breakdown:

Cash on Hand	565,000
BPI Savings Account (Acct No. 788045)	635,000
BPI Savings Account (Acct No. 788046)	200,000
MB Savings Account (Acct No. 3343)	560,000
BDO Checking Account (Acct No. 00101)	4,900,000
BDO Checking Account (Acct No. 00102)	(30,000)
CB Checking Account (Acct No. 4009)	(80,000)
Rural Bank of AAA Account (Acct No. 0019)	30,000
PNB Time Deposit	100,000
DB Savings Account (Acct No. 1001)	340,000
LB Savings Account (Acct No. 22248)	5,000,000
Petty Cash Fund	50,000
Payroll Fund	840,000
Dividend Fund	1,200,000
Bond Sinking Fund	650,000
IOU From Employees	90,000
Treasury Bills	300,000
Investment in Equity Securities	400,000

Based from your audit procedures, you noted the following:

- Cash on Hand balance includes:
  - a check for P50,000, dated January 3, 2024, issued by Swish Co., a customer;
  - a check for 18,000, dated December 30, 2023, issued by Swoosh Corp., a customer;
  - a check for P24,000 drawn from BDO Checking Account No. 00101, dated December 29, 2023, but not yet issued to the supplier;
  - postage stamps, P1,000; and,
  - a money order for P10,000
- Information related to BPI Savings Accounts are as follows:
  - Account No. 788045 includes the 10% compensating balance from a loan with a principal amount of P500,000. The loan was entered into last October 4, 2023, and will mature on October 4, 2025. The compensating balance is under a formal agreement, thus, is legally restricted.
  - Account No. 788046 includes the 8% compensating balance from a loan with a principal amount of P100,000. The loan was entered into last December 1, 2023, and will mature on November 30, 2024. The compensating balance is legally restricted.
- The MB Savings Account includes the 10% compensating balance from a P300,000 loan that will mature on December 31, 2025. The compensating balance is under an informal agreement and is essentially unrestricted in use.
- The negative balances of BDO Checking Account No. 00102 and CB Checking Account no. 4009 are both due to overdrafts.
- Rural Bank of AAA was closed last November 8, 2023, and is in the process of liquidation. Based from their liquidation process, it was determined that all depositors will be able to recover 70% of their deposit, or P500,000, whichever is lower. The amount is to be paid on June 30, 2025.

- The 90-day PNB Time Deposit was entered into last December 1, 2023.
- The accounts in DB and LB are foreign currency denominated. Both accounts were translated to Philippine Peso using the current exchange rate on December 31, 2023. The deposit in LB is restricted for a planned plant expansion in that country for the next five years.
- The breakdown of the Petty Cash Fund is as follows: bills and coins – P42,000; IOU from employee – P6,000; transportation expense – P2,000
- The Bond Sinking Fund was set up in 2019 to settle the bonds payable that will mature on July 1, 2024.
- The Treasury Bills were acquired last December 1, 2023. P200,000 will mature on February 28, 2024; the rest will mature on March 31, 2024.
- Investment in Equity Securities includes the following:
    - 10,000 ordinary shares of White Corporation; the fair value on December 31, 2023 is P250,000; the entity intends to hold the investment for trading purposes.
    - 15,000 redeemable preference shares of Black Company; the value on December 31, 2023 is P150,000, which is equal to its acquisition cost last November 1, 2023; the redemption date of the shares is on January 31, 2024.

Requirements:

1. How much shall be presented as Cash and Cash Equivalents as of December 31, 2023?
2. Based from the items initially included as Cash and Cash Equivalents, how much shall be transferred and presented elsewhere under Current Assets as of December 31, 2023?
3. Based from the items initially included as Cash and Cash Equivalents, how much shall be transferred and presented under Non-Current Assets as of December 31, 2023?
4. Prepare the adjusting journal entries on December 31, 2023.

<u>Problem 4</u>

The accountant of CROWN COMPANY is in the process of preparing the company's financial statements for the year ended December 31, 2021. He is trying to determine the correct balance of cash and cash equivalents to be reported as a current asset on the statement of financial position. The following items are being considered:

- Balances in the company's accounts at the Metropolitan Bank:
    - Current account P 81,000
    - Savings account 132,600
- Undeposited customer checks of P 22,200 (including a customer check dated January 2, 2021 for P 3,000)
- Currency and coins on hand of P 3,480
- Petty cash of P 4,000 (currency of P 1,200 and unreplenished vouchers for P2,800)
- P120, 000 in a current account at the Philippine National Bank. This represents a 20% compensating balance for P600,000 loan with the bank. Everlasting Company is legally restricted to withdraw the funds until the loan is due in 2022.
- Treasury bills:

Two- month maturity bills	P 90,000
Seven- month bills	120,000

What is the correct balance of cash and cash equivalents to be reported in the current assets section of the statement of financial position?

A. P547,480 B. P427,480 C. P430,280 D. P327,480

Problem 5

On December 1, RT Company establishes a petty cash account and designates Ms. Charlotta Garcia as petty cash custodian. The original amount included in the petty cash is P 10,000. The following disbursements are made from the fund in December:

Office supplies	3,460
Postage	2,240
Entertainment	840

There was no replenishment made in December and a physical count conducted at the end of the year revealed that there were P3,200 in the form of bills and coins inside the petty cash box.

1. The objective of establishing a petty cash fund is to
   a. Cash checks for employees
   b. Account for all cash receipts and disbursements
   c. Account for cash sales
   d. Facilitate payment of small, miscellaneous items
2. The amount of petty cash that should be reported as part of "cash and cash equivalents" in the December 31 statement of financial position is:
   a. 10,000 b. 3,460 c. 3,200 d. 2,940
3. The amount of petty cash shortage is:
   a. Zero b. 260 c. 320 d. 680
4. The person responsible, at all times, for the amount of petty cash fund is the
   a. Chairman of the Board of Directors
   b. President of the Company
   c. Petty cash custodian
   d. General cashier
5. The entry to replenish the fund is

a.	Office Supplies Expense	3,460	
	Postage Expense	2,240	
	Entertainment Expense	840	
	Cash		6,540
b.	Office Supplies Expense	3,460	
	Postage Expense	2,240	
	Entertainment Expense	840	
	Cash Over and Short	260	
	Cash		6,800
c.	Office Supplies Expense	3,460	
	Postage Expense	2,240	
	Entertainment Expense	840	
	Cash Over and Short	260	
	Petty Cash Fund		6,800
d.	Office Supplies Expense	3,460	
	Postage Expense	2,240	
	Entertainment Expense	840	
	Petty Cash Fund		6,540

6. What is the effect of not replenishing the petty cash at year-end and not making the appropriate adjusting entry?
   a. A detailed audit is essential
   b. The petty cash custodian should turn over the petty cash to the general cashier

c. Cash will be overstated and expenses understated
d. Expenses will be overstated and cash will be understated

Problem 6

On January 2, 2024, you conducted a surprise count in connection with your audit of the financial statements of Doctor Corp. for the year ended December 31, 2023. The following were identified on your examination:

Bills consist of one (1) P1,000 bill; three (3) P500 bill; three (3) P200 bill; six (6) P100 bill; seven (7) P50 bill; and four (4) P20 bill. Coins consist of nine (9) P10 coin; eight (8) P5 coin; and seven (7) P1 coin.

Checks include the following:

Date	Maker	Payee	Amount
Dec. 30	John Floyd Cruz	Doctor Corp.	₱13,000
Dec. 30	SLUU Inc.	Doctor Corp.	5,000
Dec. 30	Indo Inc.	Doctor Corp.	7,000
Dec. 31	Doctor Corp.	Benedict, Custodian	10,000

Unreimbursed vouchers comprise of the following:

Date	Description	Amount
Dec. 27	Postage	₱1,000
Dec. 27	Transportation	2,000
Dec. 28	Computer repairs	1,500
Dec. 30	Supplies	800

Additional information:

- An open envelope was marked "P2,000 for Christmas Party" with vouchers totalling to P1,850. Based on your inquiry, the whole amount was mingled with the petty cash fund and only the expense vouchers were inserted back to the envelope.
- Official receipts dated December 24 to December 31 were as follows:

OR No.	Form of Payment	Amount
120141	Cash	₱566
120142	Check	7,000
120143	Cash	891
120144	Check	12,000
120145	Check	13,000
120146	Check	5,000

- The custodian is not authorized to cash checks.
- Cash collections from December 24 to December 31 were not yet deposited.
- Unused postage stamp amount to P350.
- The last replenishment was on December 25. The petty cash fund was set up at P20,000.

Requirements:

1. What is the amount of undeposited collections on December 31, 2023?
2. What is the balance of the petty cash fund to be presented as of December 31, 2023?
3. What is the total amount of shortage/overage?

Problem 7

In the course of your audit of the cash in bank balance of PRIME Corporation, you were able to obtain the following information:

- The company's books for December 31, 2023 showed a balance of P24,650.
- The bank statement shows a cash balance of P10,500 as of December 31, 2023.
- The deposit in transit for the month of December is P64,050 and the outstanding checks total to P25,500.
- A credit memo pertaining to a bank loan of P40,000 was not yet recorded by the entity. Debit memos include a service charge of P1,600 and a charge on the loan for P4,000.
- A book error was discovered wherein a collection of accounts receivable for P1,000 was recorded as P10,000.
- The bank debits include a check issued by PRIMER Corporation amounting to P1,000.

Requirement:

1. What is the adjusted cash in bank balance as of December 31, 2023?
2. Prepare a compound entry to adjust the cash in bank balance to its correct balance as of December 31, 2023.

Problem 8

The following information was obtained during the audit of SLANDERS COMPANY's financial statements:

Outstanding Checks:	
November 30	8,007
December 31	?
Deposits in transit:	
November 30	?
December 31	13,356
Customer's Notes Collected by Bank:	
November 30	1,500
December 31	4,277
NSF Checks:	
November 30	526
December 31	700
Bank Services Charges:	
November 30	60
December 31	65
Erroneous Bank Debits:	
November 30	600
December 31	900
Erroneous Bank Credits:	
November 30	1,000
December 31	3,000
Balances:	
Book December 31, 2023	166,236
Bank November 30, 2023	130,640
December Transactions	
Receipts:	
Book	151,230

Bank	149,451
Disbursement.	
Book	111,513
Bank	110,098

Required:

1. December outstanding checks
2. December deposits in transit
3. Adjusted cash balance as of November 30
4. Adjusted cash balance as of December 31

Problem 9

Mr. Mando Rukot, the accountant of Square Room Corporation, who was hired on June 5, 2023, absconded on June 30, 2023; apparently with a huge amount of cash. You were engaged on July 1, 2023 to ascertain the amount of money taken by the accountant.

To aid you in your examination, you obtained the May bank reconciliation prepared by the previous accountant, Mr. Sipi Ey; acquired the bank statement for June; and conducted a cash count on the undeposited collections for June.

May bank reconciliation

Cash in bank balance per book, May 31		505,000
Add: Proceeds of bank loan	100,000	
Outstanding checks	65,000	165,000
Total		670,000
Less: Undeposited collections	23,000	
May bank service charge	2,000	25,000
Cash in bank balance per bank, May 31		645,000

Based on your cash count, cash totalling to P15,600 were still undeposited. June book debits total to P348,000, while book credits total to P240,000. The book debits only include cash collections for June, which is ascertained to be correct; and it does not include the bank loan credited by the bank in May. The book credits include the May bank service charge; the rest pertains to cash disbursements.

Based on the June bank statement, June bank credits total to P268,000, including the deposit in transit in May; while June bank debits total to P305,000, including the June bank service charge for P2,000. The rest of the bank debits pertain to cleared checks. All May outstanding checks cleared the bank in June.

Requirements:

1. How much is the outstanding checks as of June 30, 2023?
   A. 238,000 B. 65,000 C. 2,000 D. – 0 –
2. How much is the correct undeposited collections before the theft?
   A. 103,000 B. 348,000 C. 80,000 D. 87,400
3. How much was taken by Mr. Mando Rukot?
   A. 103,000 B. 348,000 C. 80,000 D. 87,400
4. At what amount shall the cash in bank be presented as of June 30, 2023?
   A. 711,000 B. 623,600 C. 603,000 D. 613,000